

Metadata (fill in)

Alpha name | Author | Date | Universe | Neutralization | Decay | Truncation

1. Define objective & edge

2. Formulate hypothesis

3. Mathematical expression

4. Transform & refine

5. Robustness & final alpha

1. Objective & Edge

Short-term price dislocations arise from liquidity shocks and investor overreaction. These effects are temporary and tend to mean-revert.

2. Hypothesis

Stocks with extreme negative short-term returns will outperform, while extreme positive return stocks will underperform.
Expected holding horizon: 2–10 trading days.

3. Mathematical Expression

Raw variable: daily returns.
Compute cumulative returns over a short window (e.g. 5 days).

4. Transform & Refine

Apply cross-sectional z-score to identify extremes.
Rank within industry to control sector exposure.
Low z-score = Long, High z-score = Short.

5. Final Alpha Formula

Pseudo-code:
`group_rank( -zscore(ts_sum(returns, 5)), industry )`

Rationale: exploits short-term mean reversion while neutralizing industry effects.

Step					Assumpt